

The On-the-Run Discount

Gao and Klingler

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The opinions expressed here are mine only and do not necessarily reflect the views of the Bank of Canada.

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- 1 52-week T-bills become more expensive as they age, an apparent arbitrage — and the reverse of the usual on-the-run pattern.
- 2 A sharp and puzzling discontinuity near the 26-week reopening.

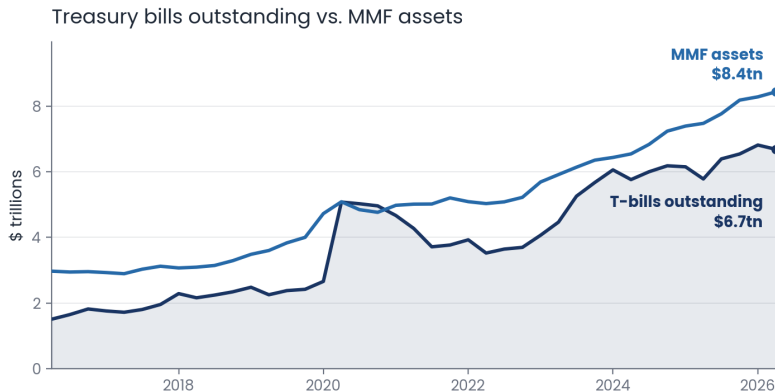
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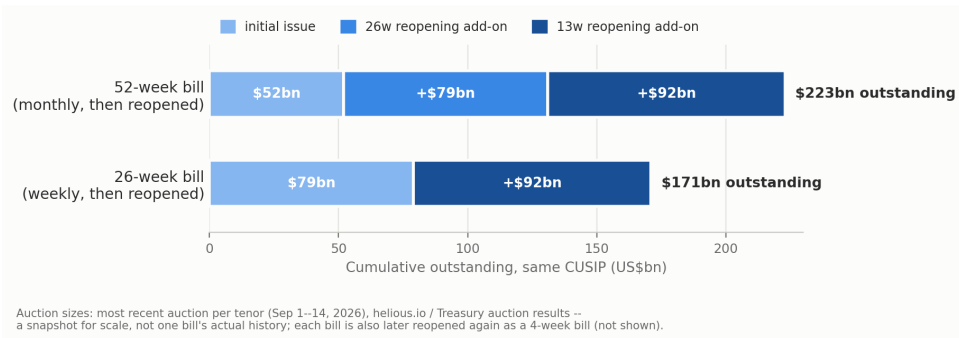
Motivation



Source: Federal Reserve Financial Accounts (Z.1), BOGZ1FL3I3I611I0Q and MMMFFAQ027S, quarterly, 2016–2026.

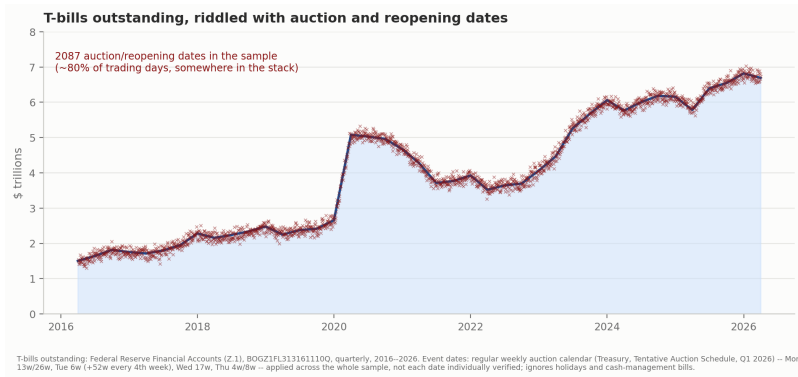
T-bill supply surged since 2015; one part in the broader fiscal story.

Issuances and Reopenings...



- Bill issuances and reopenings are frequent—contrast with Treasury bond issuances and public equity market issuances.

Identification is not scarce



The Treasury bill market is unusual in combining relevance, enormous scale, frequent issuances, and a relatively thin empirical literature.

This week, of all weeks



- We need to understand these auctions.

Opinion **The Long View**

Bond ructions point to new danger zone in markets

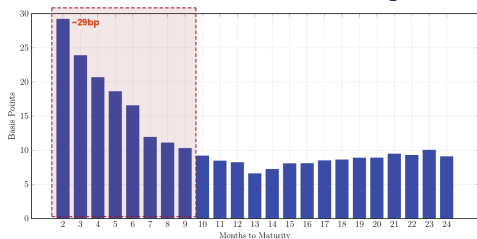
Sell-offs of this scale and speed have the potential to light fires in other parts of the financial system

KATIE MARTIN

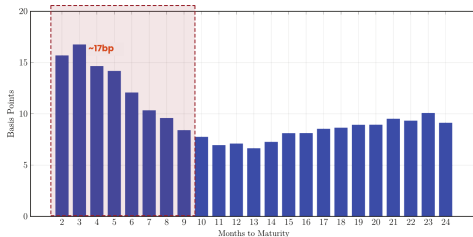
+ Add to myFT



Treasuries in the money market—Fleckenstein and Longstaff (2024)



Average Richness vs Months to Maturity
All Treasuries



Average Richness vs Months to Maturity
Notes and Bonds only

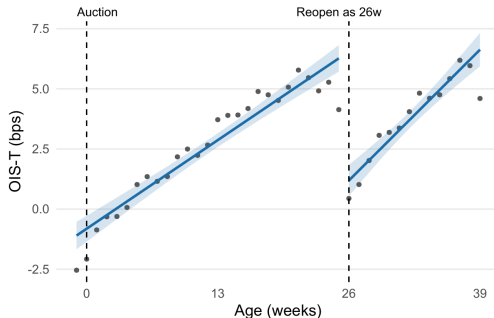
- Richness is risk-free rate minus T-bill yield: $\rho(m) = r(m) - y(m)$, m is maturity.
- MMFs favor shorter maturities (and largely older securities); slope is $\approx 2\text{bp/month}$.
- Mechanism: MMFs target average portfolio maturity below 60 days (Rule 2a-7).
- F&L: target WAM was cut from 90 to 60 days in 2010, which led to a steeper slope afterward.

Zooming on 52-week T-bills—Gao and Klingler (2026)

G&K (Aug. 2026), Figure 3. Track 52-week bills over time.

Dashed lines mark the initial issuance and first reopening.

- Pre-reopening slope $\approx -1\text{bp/month}$ seems in line with F&L evidence.
- But richness drops sharply at the 26-week reopening and resumes rising.
- Was the Fleckenstein and Longstaff (2024) story around MMFs all that there is?
- Or distinct questions: (i) why the arbitrage survives and (ii) why such a large and persistent reopening break (the sawtooth)?



MMF Demand vs Arbitrage: A toy model.

The richness pattern sits between many forces:

- 1 T-bill supply is $Q_s(m)$ and total float is $Q = \int_0^{1y} Q_s(m) dm$.
- 2 MMFs' demand $Q_f(m)$ with assets under management A.
- 3 Arbitrageurs shorts $Q_a(m)$ when bills are rich, but face costs $\frac{\gamma}{2} \frac{Q_a(m)^2}{Q_s(m)}$
- 4 Assume flat risk-free term structure $r(m) = r$.

A toy model: FOCs and equilibrium

MMFs

FOC: $\rho(m) = v_0 - \psi m - \mu$.

Trade off returns and regulatory constraints.

ψ : regulatory costs per unit of maturity;

μ : shadow cost of scarce capacity.

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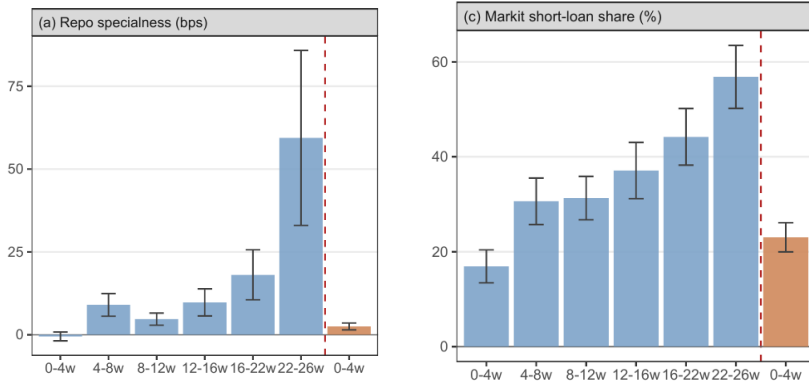
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- Richness is linear in maturity. No sawtooth in an MMF-driven model?
- Maturity composition not a big deal. Adding re-issuances shifts the level—no kinks.

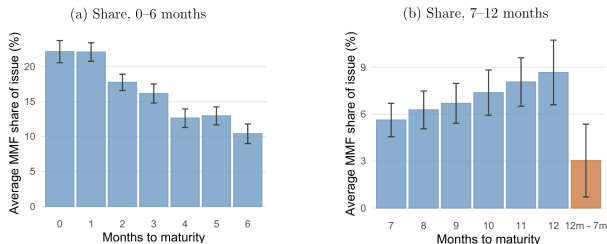
The reopening specialness cycle?



G&K (Sept. 2026), Fig. 2 (a, c): specialness and Markit short-loan share by age; dashed line marks the 26-week reopening.

- Both security lending fees and short positions rise steadily toward the reopening, then fall sharply once it settles.
- Two messages: (i) This explains how MMF-driven richness can survive; (ii) but move the sawtooth puzzle elsewhere?

MMF Holdings around the reopening



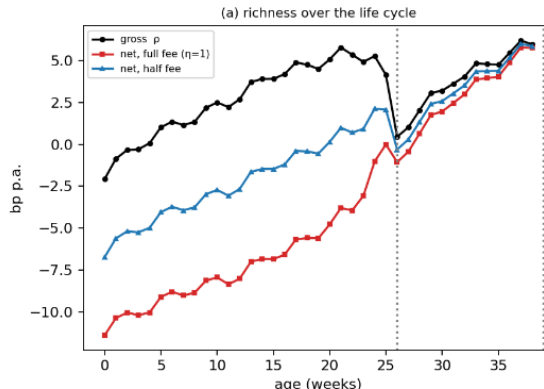
Post-reopening (0–6 months)

Pre-reopening (7–12 months)

G&K (Sept. 2026), Figure 6 and Figure 1A.2 (panel a). The 26-week reopening falls at the boundary between the two panels shown.

- Intuitive: MMFs that do not earn the lending fees should under-weight T-bills nearing the reopening.
- Duffie (1996), Vayanos & Weill (2005), the on-the-run bonds' richness is due to the value of future lending fees that *bond holders* earn.
- How rich are these T-bills *net of the fee revenue*?

Net of the fee — tongue-in-cheek



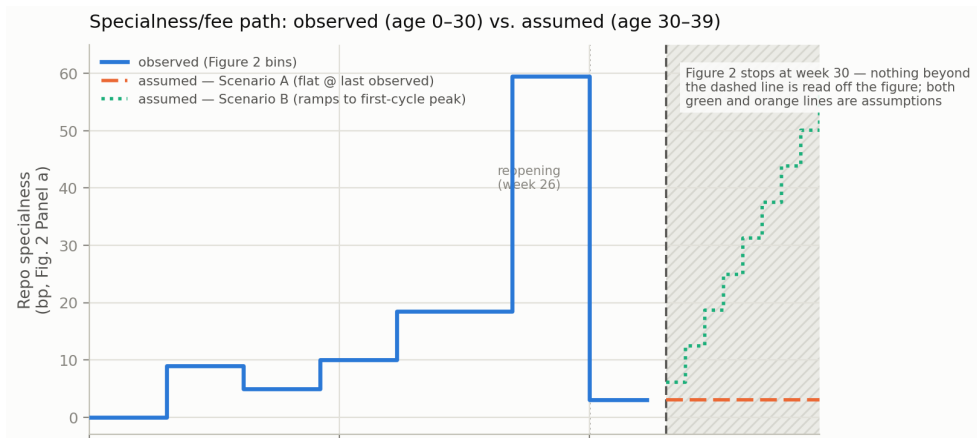
Speculative, reading results across tables and adding assumptions. See appendix for details. Blame the LLMs if you disagree.

- Richness net of specialness—a purer convenience yield—may look quite different.
- This would turn the spotlight on the short-sellers.

Conclusion

- An important topic. Understanding the T-bill market is increasingly relevant.
- A literature gap.
- Important results. Which path forward?
 - 1 Build on F&L: the interaction between MMFs' regulatory demand, limits to arbitrage, and variations in Treasury issuances and reopenings.
 - 2 Pivot to the intense short-selling activity, and establish its motives/economic function.

Appendix: the week 30–39 fee assumption



Appendix: gross vs. net richness under both scenarios

